



MEMORANDUM

CN - No. 2024-0048

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Amendments |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : PROPOSED AMENDMENTS TO THE CONSOLIDATED LISTING AND DISCLOSURE RULES AND REVISED TRADING RULES

DATE : September 30, 2024

The Exchange is inviting all interested parties to submit their comments on the proposed amendments to the Consolidated Listing and Disclosure Rules and Revised Trading Rules, as discussed in the attached Consultation Paper.

Comments may be sent to the Office of the General Counsel at ogc_list@pse.com.ph until October 11, 2024.

For your information and guidance.

(Original signed)
Ramon S. Monzon
President and CEO

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The Philippine Stock Exchange, Inc.

Consultation Paper

PROPOSED AMENDMENTS TO THE LISTING AND DISCLOSURE RULES AND REVISED TRADING RULES

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit their comments, if any, on the following proposed amendments to The Philippine Stock Exchange, Inc.'s ("PSE" or the "Exchange") Listing and Disclosure Rules and Revised Trading Rules:

1. Expansion of the coverage of the black-out rule in Article VII, Section 13.2 of the Listing and Disclosure Rules and fixing a different black-out period for earnings results;
2. Amendment of the penalty provision for trading of unlisted shares in Article V, Part A, Section 11 of the Listing and Disclosure Rules;
3. Clarification of the commencement of the lock-up period in Article V, Part A, Section 8 of the Listing and Disclosure Rules;
4. Clarification on the listing of shares offered under a Stock Option Plan or Stock Purchase Plan in Article V, Part D, Section 1;
5. Amendment of the listing fee provision for a Stock Option Plan or Stock Purchase Plan in Article VI, Part C, Section 1(8); and
6. Removal of the one-month liquidation period for error transactions in Article IV, Section 20 of the Revised Trading Rules.

Interested parties may submit their comments and requests for clarifications by e-mail to ogc_list@pse.com.ph until October 11, 2024.

II. Listing and Disclosure Rules

A. Black-Out Rule

Rationale for the Rule Review

The rationale behind Section 13.2 of the Listing and Disclosure Rules is to ensure a level playing field for all investors by preventing information asymmetry and ensuring that no party can take advantage of material non-public information.

However, it should be noted that the existing black-out rule applies only to directors and principal officers of an issuer and *not the issuer itself*, which may also be in possession of material non-public information when it deals in its own shares. The trading restriction commences from the time such directors and principal officers obtain material non-public information up to two full trading days after disclosure. The two (2) full trading day prohibition after the dissemination

of price sensitive information is enforced to allow the market a fair amount of time to absorb the same.

Material non-public information is defined in Section 27.2 of the Securities Regulation Code as any information which (a) has not been generally disclosed to the public and would likely affect the market price of the security after being disseminated to the public and the lapse of a reasonable time for the market to absorb the information, or (b) would be considered by a reasonable person important under the circumstances in determining his course of action whether to buy, sell or hold a security.

Under the PSE Disclosure Rules, an information is material if:

- (a) It is necessary to enable the public to appraise the issuer's financial condition, development projects, or pertains to mergers and acquisitions, or significant change in ownership of the issuer's securities owned by insiders or those representing control of the issuer; or
- (b) It is necessary to avoid the creation of a false market for its securities; or
- (c) Information may reasonably be expected to materially affect market activity and the price of its securities.

Proposed Amendments

It is proposed that the coverage of the black-out rule be expanded to include the issuer itself so that it cannot sell or conduct a buy-back of its shares during the black-out period.

It is further proposed that the blackout period for earnings results be fixed from thirty (30) calendar days before the earnings pre-announcement or submission of the Annual Report or Quarterly Report, whichever is earlier, up to two (2) full trading days after disclosure, without prejudice to PSE's determination, based on available records, that the issuer, director, or principal officer was already in possession of the material non-public information, and therefore subject to trading restriction, even before the 30-day period.

Existing	Proposed
<u>Article VII, Section 13.2</u> A Director or a Principal Officer of an Issuer must not deal in the Issuer's securities during the period within which a material non-public information is obtained and up to two (2) full Trading Days after the price sensitive information is disclosed.	<u>Article VII, Section 13.2</u> A Director or a Principal Officer of an Issuer OR THE ISSUER, ITSELF , must not deal in the Issuer's securities during the period within which a material non-public information is obtained and up to 2 full Trading Days after the price sensitive information is disclosed; PROVIDED THAT FOR EARNINGS RESULTS, THE

Existing	Proposed
	BLACKOUT PERIOD SHALL BE THIRTY (30) CALENDAR DAYS PRIOR TO THE DISCLOSURE OF THE EARNINGS PRE-ANNOUNCEMENT OR THE SUBMISSION OF THE ISSUER'S ANNUAL AND QUARTERLY REPORTS, WHICHEVER COMES EARLIER, AND UP TO TWO (2) FULL TRADING DAYS AFTER THE POSTING OF THE RELEVANT DISCLOSURE. THE FOREGOING SHALL BE WITHOUT PREJUDICE TO THE EXCHANGE'S DETERMINATION, BASED ON AVAILABLE EVIDENCE, THAT THE ISSUER, OR ANY OF ITS DIRECTORS OR PRINCIPAL OFFICERS WAS ALREADY IN POSSESSION OF THE EARNINGS RESULTS AND SUBJECT TO TRADING RESTRICTION EVEN PRIOR TO THE BLACKOUT PERIOD IDENTIFIED IN ACCORDANCE WITH THE ABOVE RULE.

The above proposed amendments are benchmarked against the rules of the Singapore Exchange and Bursa Malaysia.

B. Trading of Unlisted Shares

Rationale for the Rule Review

Under existing rules, the penalty for trading of unlisted shares is a basic fine equivalent to fifteen percent (15%) of the market value of the shares at the time of lodgment and a daily fine of Php2,000.00 for each day of continuing violation until rectified. If the violation occurred 15 or 16 years ago, the penalty computed based on such formula could reach up to hundreds of millions of pesos.

Proposed Amendment

Considering the foregoing, it is proposed that the penalty be capped at Php50,000,000.00.

Existing	Proposed
<u>Article V, Part A, Section 11</u>	<u>Article V, Part A, Section 11</u>

Existing	Proposed
Lodgment and Trading of Unlisted Shares - Listing Applicant shall ensure that securities which are not yet listed on the Exchange, including those which have been approved for listing but Issuer has not yet complied with post-approval requirements, shall not be lodged and/or traded through the facilities of the Exchange. Lodgment and/or trading of unlisted securities shall subject the Issuer to a fine equivalent to fifteen percent (15%) of the market value of the shares at the time of lodgment plus a daily fine of Two Thousand Pesos (P2,000.00) for each day of continuing violation until rectification, or Five Million Pesos (P5,000,000.00), whichever is higher. Market value shall be computed by multiplying the number of lodged and/or traded unlisted shares by the last traded price of the stock as of the day immediately preceding the lodgment. xxx	... Lodgment and/or trading of unlisted securities shall subject the Issuer to a fine equivalent to fifteen percent (15%) of the market value of the shares at the time of lodgment plus a daily fine of Two Thousand Pesos (P2,000.00) for each day of continuing violation until rectification, or Five Million Pesos (P5,000,000.00), whichever is higher, BUT IN NO CASE HIGHER THAN FIFTY MILLION PESOS (PHP50,000,000.00). Market value shall be computed by multiplying the number of lodged and/or traded unlisted shares by the last traded price of the stock as of the day immediately preceding the lodgment. xxx

C. Lock-Up Requirement in Additional Listing Rules

Rationale for the Rule Review

The intention of the rule is to prohibit the sale or disposition of the shares subscribed to by related parties from issuance until 180 days after listing, as can be gleaned from the clause “for a minimum period of 180 days after listing.” The rationale behind lock-up requirement is to prevent related party subscribers from selling the shares immediately or shortly after issuance which may result in said subscribers gaining undue advantage over minority stockholders whose shareholdings were diluted as a result of the related party’s subscription.

Proposed Amendment

To provide clearer guidance to the market on the commencement of the lock-up period, the Exchange proposes to amend the lock-up rule in the Additional Listing Rules, as follows:

Existing	Proposed
<u>Article V, Part A, Section 8</u> For related party transactions whereby the rights or public offering requirement has been waived, the Subscriber must enter into an agreement with the Exchange not to sell, assign, or in any manner dispose of their shares for a minimum period of 180 days after listing.	<u>Article V, Part A, Section 8</u> For related party transactions whereby the rights or public offering requirement has been waived, the SHARES MUST BE HELD UNDER ESCROW THROUGH AN ESCROW AGENT FROM THE TIME OF ISSUANCE UNTIL 180 days after listing.

D. Listing of Stock Option/Stock Purchase Plan

Rationale for the Rule Review

While the Exchange approves in principle the listing of all shares offered under a Stock Option or Stock Purchase Plan (the “Plan”), the shares covered by the Plan will remain unlisted until these are actually availed of, issued, and fully paid, and the issuer has complied with all post-approval requirements.

The Exchange has noted that some issuers mistakenly construe the “approval in principle” of the Plan to mean that all shares to be issued under the Plan are automatically listed and tradable on the Exchange without the issuer complying with the post-approval requirements and reporting such compliance as well as the issuance and full payment of the shares to the Exchange. As a result, the shares are lodged and traded after issuance without said shares being included in the Exchange’s registry of listed shares.

Proposed Amendments

To address the above, the Exchange proposes to expressly state in the rules that actual listing of shares offered under a Stock Option Plan or Stock Purchase Plan shall not take place until issuance and full payment of the shares and compliance with post-approval requirements.

Existing	Proposed
<u>Article V, Part D, Section 1</u> Listing Approval of Stock Option/Stock Purchase Plan – An Issuer which has a newly approved Stock Option or Stock Purchase Plan by its Board or has an existing Stock Option or Stock Purchase Plan to its employees should inform	<u>Article V, Part D, Section 1</u> Listing Approval of Stock Option/Stock Purchase Plan – An Issuer which has a newly approved Stock Option or Stock Purchase Plan by its Board or has an existing Stock Option or Stock Purchase Plan to its employees SHALL inform

Existing	Proposed
the Exchange as soon as possible of such fact, outlining therein the details of the Plan.	the Exchange as soon as possible of such fact, outlining therein the details of the Plan.
The listing approval of all remaining and unexercised option shares shall be effective until the end of the option and/or holding period. These shares shall be removed from the Official Registry of the Exchange after the said period.	THE EXCHANGE MAY APPROVE THE APPLICATION FOR LISTING OF ALL STOCK OPTION OR STOCK PURCHASE PLAN SHARES BUT ACTUAL LISTING SHALL NOT TAKE PLACE UNTIL ISSUANCE AND FULL PAYMENT OF THE SHARES AND COMPLIANCE WITH THE POST-APPROVAL REQUIREMENTS. The listing approval of all remaining and unexercised option shares shall be effective until the end of the option period.

Moreover, since the exercise period for Stock Option Plans and Stock Purchase Plans can be several years (e.g., 10 to 15 years) from grant, it is further proposed to delay the payment of the listing fee until the shares are actually availed of, and to determine the listing fee based on the actual transaction value. Upon filing of the listing application, the Exchange will only collect a processing fee of Fifty Thousand Pesos (Php50,000).

Existing	Proposed
<u>Article VI, Part C, Section 1 (8)</u>	<u>Article VI, Part C, Section 1 (8)</u>
Schedule of Fees - Equity Securities - Additional Listing	Schedule of Fees - Equity Securities - Additional Listing
...	...
(8) Availment of Stock Option Plan	(8) Availment of Stock Option Plan
1/10 of 1% of the maximum number of shares to be availed or exercised multiplied by its Stock Option Plan price.	A PROCESSING FEE OF PHP50,000.00 SHALL BE PAID UPON FILING OF THE LISTING APPLICATION.
Should the stock option price refer to a formula or market price of the shares at some future date or period, the date or period closest to the date of filing of the listing application shall be used for the purpose of computing the filing fee. The same shall not, however, apply to shares already availed of or granted pursuant to the plan, in which case,	THE LISTING FEE OF 1/10 OF 1% OF THE ACTUAL TRANSACTION VALUE OF THE STOCK OPTION OR STOCK PURCHASE PLAN SHARES AVAILED OF SHALL BE PAID BY THE ISSUER UPON FULL PAYMENT AND ISSUANCE AND PRIOR TO THE LISTING OF THE SAID SHARES.

Existing	Proposed
the stock option price to be used by the Exchange shall be the price at which said option shares have been availed of or exercised.	Should the stock option price refer to a formula or market price of the shares at some future date or period, the date or period closest to the date of filing of the listing application shall be used for the purpose of computing the filing fee. The same shall not, however, apply to shares already availed of or granted pursuant to the plan, in which case, the stock option price to be used by the Exchange shall be the price at which said option shares have been availed of or exercised.

III. Revised Trading Rules

A. Liquidation of Error Transactions

Rationale for the Rule Review

The shares in the error account become the proprietary shares of the trading participant; hence, the trading participant should be able to decide whether, and when, it wants to liquidate the position in its error account. Furthermore, the trading participant already absorbs the consequences of the error transaction (e.g., by paying for the overbought shares). Requiring the trading participant to dispose of said shares within one (1) month, even if it may incur a loss, is tantamount to penalizing the trading participant twice for the error transaction.

Proposed Amendment

The Exchange proposes to remove the one-month liquidation period for error transactions provided in Article IV, Section 20 of the Revised Trading Rules.

Existing	Proposed
<u>Article IV, Section 20</u>	<u>Article IV, Section 20</u>
Section 20. Error Transactions	Section 20. Error Transactions
a. All Trading Participants shall maintain a designated account for error transactions. For Trading Participants with broker-dealer license, their proprietary account may be used as the designated account for error transactions.	...

Existing	Proposed
b. All error transactions shall be properly identified and duly reflected in the Trading Participant's designated account for error transactions no later than two (2) Trading Days from the date of transaction. c. Any position in the error account shall be liquidated no later than one (1) month from the date of the relevant transaction.	c. Any position in the error account shall be liquidated no later than one (1) month from the date of the relevant transaction ANY TRANSFER OF SHARES FROM THE ERROR ACCOUNT SHALL BE AT THE DISCRETION OF THE TRADING PARTICIPANT.